

25STCV35428 25STCV35428

County: los-angeles

Division: Civil Law and Motion

Department: 617

Hearing date: 2026-07-08

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C617%2C07%2F08%2F2026

Source SHA-256: d9af920f377b565dfb412d9246608345348bb03fd95529b6cb19d4ed76d49967

Case Number: 25STCV35428 Hearing Date: July 8, 2026 Dept: 617

Dept.

617

Date:

7-8-26

Case

#: 25STCV35428

Trial

Date: None Set

COMPEL ARBITRATION

MOVING

PARTY: Defendant, Mercedes-Benz USA, LLC

RESPONDING

PARTY: Plaintiff, Jorge Cruz

RELIEF

REQUESTED

Motion

to Compel Arbitration and Stay Action

SUMMARY

OF ACTION

This

is a lemon law action. Plaintiff Jorge Cruz sued Defendant Mercedes-Benz USA, LLC, alleging Defendant failed to promptly replace his car or make restitution after it was unable to conform the car to its express warranty after a reasonable number of repair attempts. Plaintiff also asserts a claim for breach of implied warranty against Defendant. He additionally brings a negligent repair cause of action against LAD-MB, LLC.

RULING: Granted.

Evidentiary Objections: Overruled.

Request for Judicial Notice: Granted.

The Court takes judicial notice of the existence of the complaint filed in the instant action. (Lockley v. Law Office of Cantrell, Green, Pekich, Cruz & McCort (2001) 91 Cal.App.4th 875, 882.) Judicial notice is also taken of the existence of the state and federal court appellate decisions and the truth of the results reached therein. (Id. at pp. 885-86.)

Defendant Mercedes-Benz USA, LLC moves to compel arbitration under the Motor Vehicle Lease Agreement (Agreement). It argues that it can compel arbitration as an intended third-party beneficiary of the Agreement. Plaintiff opposes the motion, challenging Defendant's standing to enforce the Agreement. Because Defendant can enforce the Agreement as a third-party beneficiary, its motion is granted.

"A

written agreement to submit to arbitration an existing controversy or a controversy thereafter arising is valid, enforceable and irrevocable, save upon such grounds as exist for the revocation of any contract." (Code Civ. Proc., § 1281.) "On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party thereto refuses to arbitrate such controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: (a) The right to compel arbitration has been waived by the petitioner; or

(b) Grounds exist for the revocation of the agreement.” (Id. § 1281.2.)

Defendant moves to compel arbitration under the Federal

Arbitration Act (FAA). The Agreement explicitly states that it is governed by

the FAA. [Ameripour Decl. ¶ 4, Ex. 2, p. 4.] This is sufficient to invoke

application of the FAA to the arbitration agreement. (*Victrola 89, LLC v. Jaman Properties 8 LLC* (2020) 46 Cal.App.5th 337, 355.) While the FAA

governs the rules for conducting arbitration, barring citation to a case

precluding California law, motions to compel arbitration are still governed by

California law. (*Adolph v. Uber Technologies, Inc.* (2023) 14 Cal.5th

1104, 1119; *Viking*

River Cruises, Inc. v. Moriana (2022) 596 U.S. 639, 653; *Volt Information Sciences, Inc. v. Board of Trustees of Leland*

Stanford Junior University (1989) 489 U.S. 468, 477-79; *Victrola 89, supra*, 46

Cal.App.5th at p. 346.)

The law creates a general presumption in favor of

arbitration. In a motion to

compel arbitration, the moving party must prove by a preponderance of evidence

the existence of the arbitration agreement and that the dispute is covered by

the agreement. The burden then shifts to the resisting party to prove by a

preponderance of evidence a ground for denial (e.g., fraud, unconscionability,

etc.). (*Rosenthal v. Great Western Fin'l Securities Corp.* (1996) 14

Cal.4th 394, 413-14; *Hotels Nevada v. L.A. Pacific Ctr., Inc.* (2006) 144

Cal.App.4th 754, 758.) Any challenges to the formation of the arbitration agreement

should be considered before any order sending the parties to arbitration. The trier of fact weighs all evidence, including

affidavits, declarations, documents, and, if applicable, oral testimony to

determine whether the action goes to arbitration. (*Hotels Nevada, supra*,

144 Cal.App.4th at p. 758.)

The moving party

bears the initial burden of producing “prima facie evidence of a written

agreement to arbitrate the controversy.” (*Gamboa v. Northeast*

Community Clinic (2021) 72 Cal.App.5th 158, 165.) This burden may be met “by attaching to the [motion or]

petition a copy of the arbitration agreement purporting to bear the [opposing

party's] signature” or “setting forth the agreement's provisions in the

motion.” (Id. at p. 165.) If

the opposing party disputes the agreement, then the burden shifts to the

opposing party to produce “evidence to challenge the authenticity of the

agreement.” (Ibid.) The opposing party can do this by testifying under

oath or declaring under penalty of perjury “that the party never saw or does

not remember seeing the agreement, or that the party never signed or does not remember signing the agreement.” (Ibid.) If the opposing party meets its burden, the burden then shifts to the moving party to “establish with admissible evidence a valid arbitration agreement between the parties.” (Ibid.) “The burden of proving the agreement by a preponderance of the evidence remains with the moving party.” (Id. at p. 166).

Defendant has proven the existence of an agreement to arbitrate Plaintiff’s claims. It attaches to the motion a copy of the Agreement containing Plaintiff’s signature. [Ameripour Decl. ¶ 4, Ex. 2, p. 6.] Defendant can enforce the Agreement as a nonsignatory because it is an intended third-party beneficiary of the arbitration agreement. A nonsignatory may enforce an arbitration agreement against a signatory if it is a third-party beneficiary of the agreement. (Ronay Family Limited Partnership v. Tweed (2013) 216 Cal.App.4th 830, 839.) A third-party beneficiary must show that: (1) “the third party would in fact benefit from the contract”; (2) “a motivating purpose of the contracting parties was to provide a benefit to the third party”; and (3) permitting the third party to enforce the contract “is consistent with the objectives of the contract and the reasonable expectations of the contracting parties.” (Goonewardene v. ADP, LLC (2019) 6 Cal.5th 817, 830.) Here, Defendant would benefit from the Agreement because it permits Defendant to compel arbitration in the event of a dispute. [Ameripour Decl. ¶ 4, Ex. 2, p. 4.] A motivating purpose of the contracting parties was to provide a benefit to Defendant because the Agreement explicitly names Defendant as a third-party beneficiary and provides that it can enforce the Agreement as such. [Ibid.] Permitting Defendant to compel arbitration is consistent with the objectives of the Agreement and the reasonable expectation of the parties because the parties expressly agreed that Defendant could do so. [Ibid.] Plaintiff’s claims also relate to the lease or “arise out of” a relationship “arising out of the lease” as they are based on purported nonconformities in the leased car and Defendant provided the express warranty as a result of the lease. (Cf. Ford Motor Warranty Cases (2023) 89 Cal.App.5th 1324, 1338-40 [manufacturer was not a third-party beneficiary where sales contract did not name manufacturer and limited right of enforcement to purchaser and dealer].)

Plaintiff presents no challenge to the authenticity of the Agreement or defenses to its enforcement. Defendant’s motion is therefore granted. Plaintiff and Defendant to arbitrate the express and implied warranty claims.

“If a court of competent jurisdiction, whether in this State or not, has ordered arbitration of a controversy which is an issue involved in an action or proceeding pending before a court of this State, the court in which such action or proceeding is pending shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies.” (Code Civ. Proc., § 1281.4.) The action is stayed as to Plaintiff and Defendant.

Defendant to give notice.